

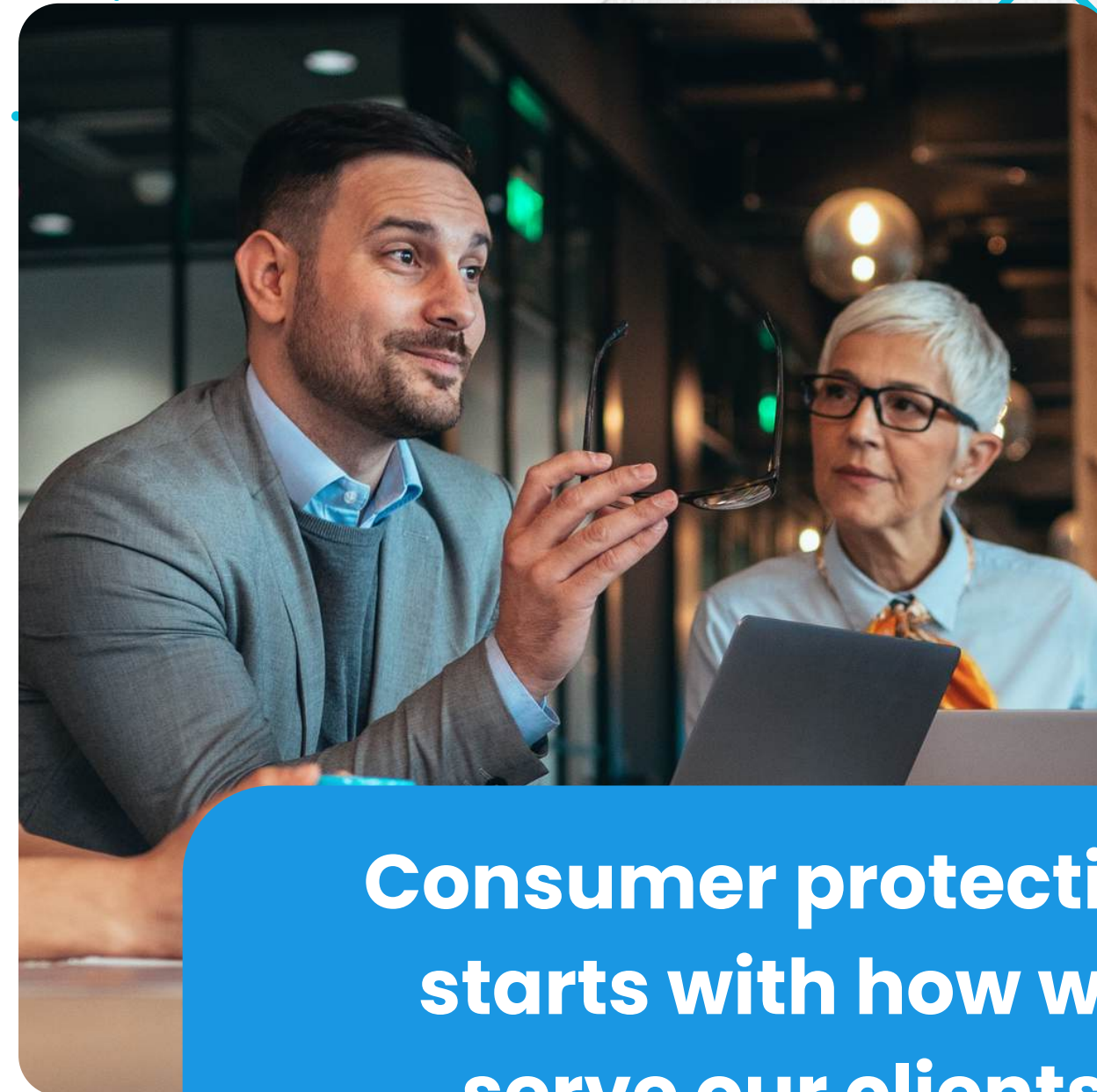
CONSUMER PROTECTION

Putting Consumer Protection into Daily Banking Practice



Objectives

- Understand why consumer protection is critical in banking
- Learn BSP's core consumer protection principles
- Recognize employee responsibilities
- Apply fair and ethical practices in daily work



**Consumer protection
starts with how we
serve our clients**



What is Consumer Protection?

Consumer Protection ensures that clients are protected from unfair practices and promotes transparency, fairness, and accountability in all banking products and services.



Why it Matters?



Building Trust with Consumer

Consumers rely on financial institutions for savings, loans, investments, and payments



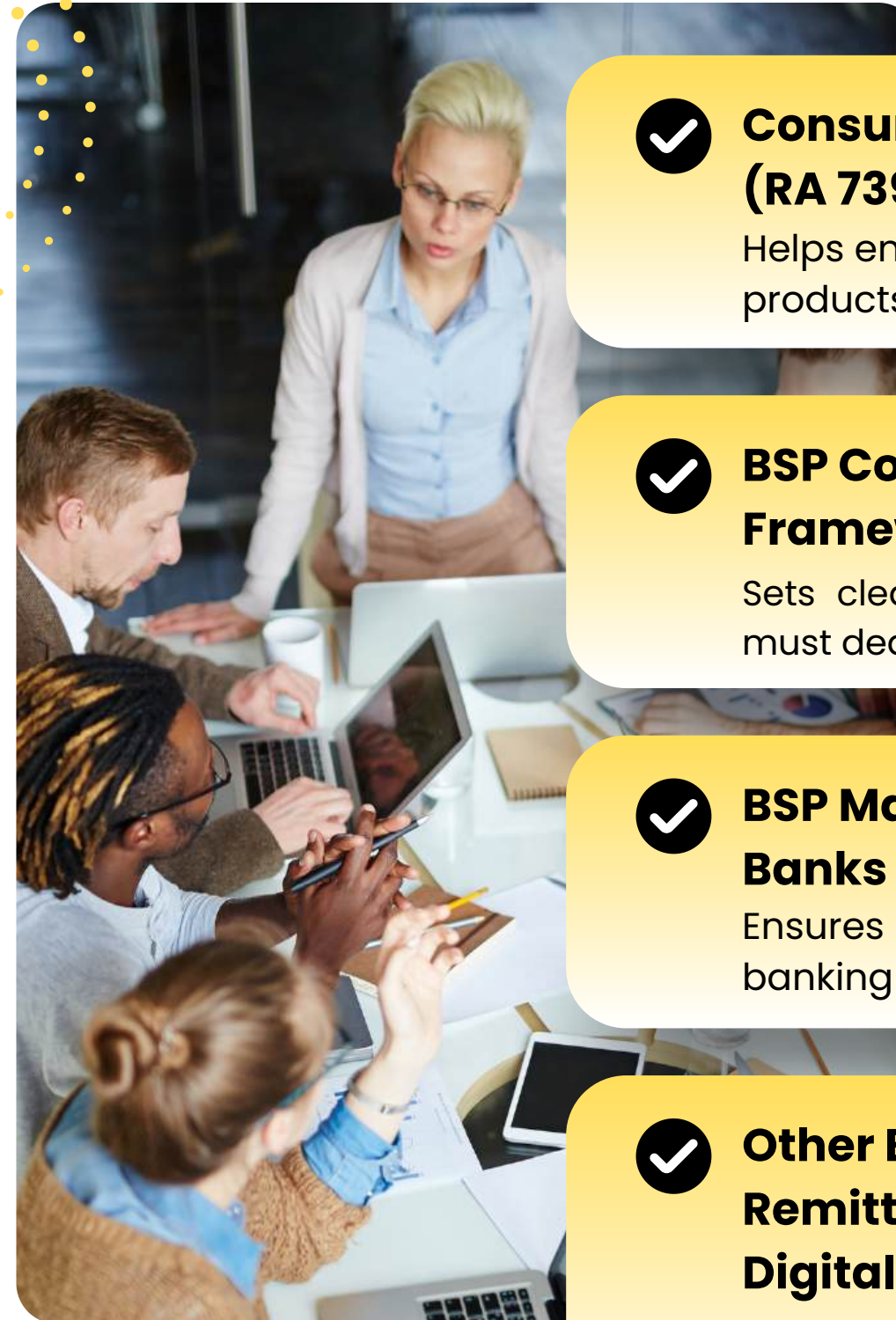
Protecting Consumer Rights

Protecting their rights fosters trust and promotes financial stability



Governing Laws and Regulations

These regulations guide employee conduct, protect client rights, and help prevent fraud, abuse, and misinformation. By complying with these laws, banks strengthen public trust, reduce risks, and uphold the integrity of the banking system.



✓ **Consumer Act of the Philippines (RA 7394)**

Helps ensure honesty and fairness in all products and services offered to clients.

✓ **BSP Consumer Protection Framework (Circular No. 944)**

Sets clear expectations on how employees must deal with clients at every touchpoint.

✓ **BSP Manual of Regulations for Banks**

Ensures consistent, compliant, and ethical banking operations across all branches.

✓ **Other BSP Rules on Loans, Remittances, E-Payments, and Digital Finance**

Safeguards clients as banking becomes more digital and technology-driven.

Key Principles of Consumer Protection

Transparency

- Clear and accurate product information
- Full disclosure of interest rates, fees, and charges

Fair Treatment

- No discrimination or exploitation
- Same pricing for similarly situated clients

Responsible Lending

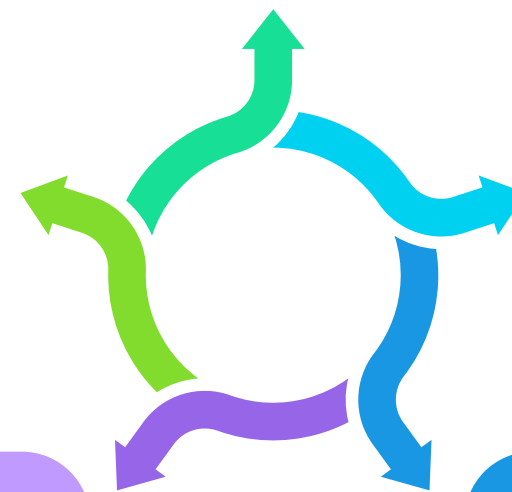
- Loans based on repayment capacity
- Prevent over-indebtedness

Privacy and Confidentiality

- Protect customer data
- Limit access to authorized personnel only

Access to Redress

- Easy complaint filing mechanisms
- Timely and fair resolution



Why is KYC important?

KYC protects customers by preventing fraud, identity theft, and unauthorized transactions. It ensures account security, promotes transparency, and helps the bank comply with BSP regulations and data privacy laws. Through proper KYC, bank employees help maintain trust, protect customer rights, and uphold the integrity of the banking system.



Key KYC Activities

- Proper customer identification and verification
- Regular updating of customer information
- Monitoring transactions for unusual activities

Financial Consumer Rights



RIGHT TO INFORMATION

Before signing contracts, consumers must receive clear explanation of terms, rates, fees, and disclosure of risks and conditions



RIGHT TO CHOOSE

Consumers have freedom to select products without coercion or pressure



RIGHT TO PRIVACY

Personal and financial data must be protected, and no unauthorized sharing of information



RIGHT TO REDRESS

Consumers can complain and expect timely resolution



RIGHT TO SAFETY

Financial products should not expose consumers to undue risks

Responsibilities of the Bank

Banks play a vital role in safeguarding consumer trust by upholding high standards of transparency, ethics, and accountability. These responsibilities ensure that clients are well-informed, treated fairly, and protected throughout their banking experience. By fulfilling these duties, the bank complies with regulatory requirements while promoting confidence, security, and long-term customer relationships.



✓ Provide accurate and complete disclosures of products and services

✓ Train employees on ethical sales practices and consumer rights

✓ Implement effective complaint handling systems

✓ Maintain strong data protection and cybersecurity measures

✓ Report compliance to BSP regularly

Ethical Sales Practices

Ethical sales build long-term trust, protect clients, and strengthen the bank's reputation.

Put the Client First

Recommend products based on the client's needs and capacity, not sales targets.

Be Honest and Transparent

Clearly explain product features, costs, risks, fees, and penalties.

No Misrepresentation

Never exaggerate benefits or hide important information to close a sale.

Avoid Pressure Selling

Allow clients enough time to decide without coercion or intimidation.



Ensure Informed Consent

Confirm that clients fully understand and willingly agree before signing.

Respect Client Rights

Uphold fairness, privacy, and dignity in all sales interactions.

Comply with Policies and Laws

Follow bank policies, BSP regulations, and consumer protection rules.

Report Unethical Practices

Immediately report any misleading, abusive, or dishonest sales behavior.

Customer Scenarios

Bank employees often encounter customer situations that require clear communication, fairness, and care. These include explaining products, practicing responsible lending, handling complaints properly, protecting customer information, and supporting safe use of digital banking services. Handling these situations well helps build trust and ensures compliance with banking regulations.



Product Transparency

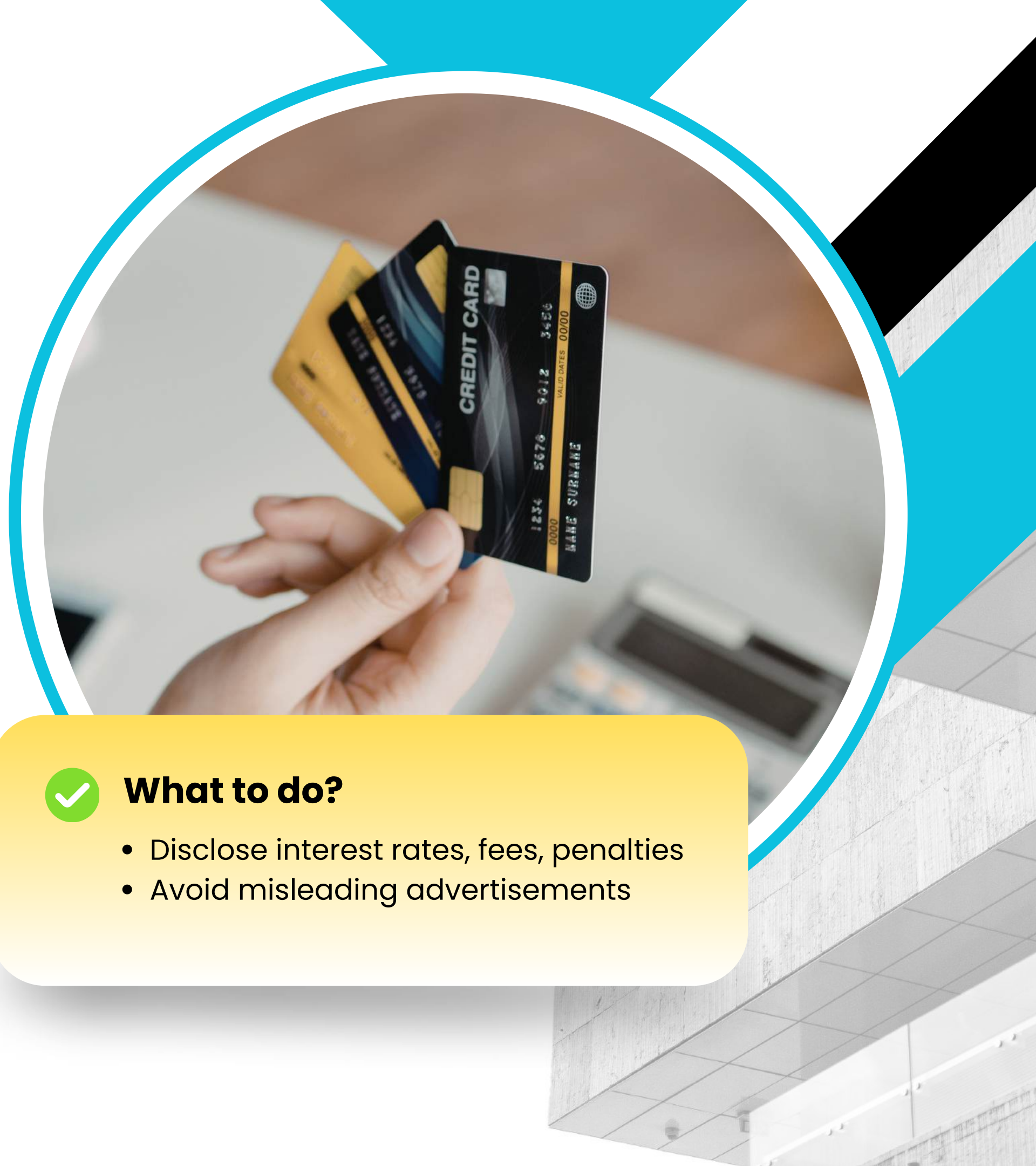
Scenario

A customer is offered a loan advertised as “0% interest,” but the employee clearly explains all applicable fees, charges, and penalties before the customer signs. This ensures the customer fully understands the true cost and avoids misleading information.



What to do?

- Disclose interest rates, fees, penalties
- Avoid misleading advertisements



Responsible Lending

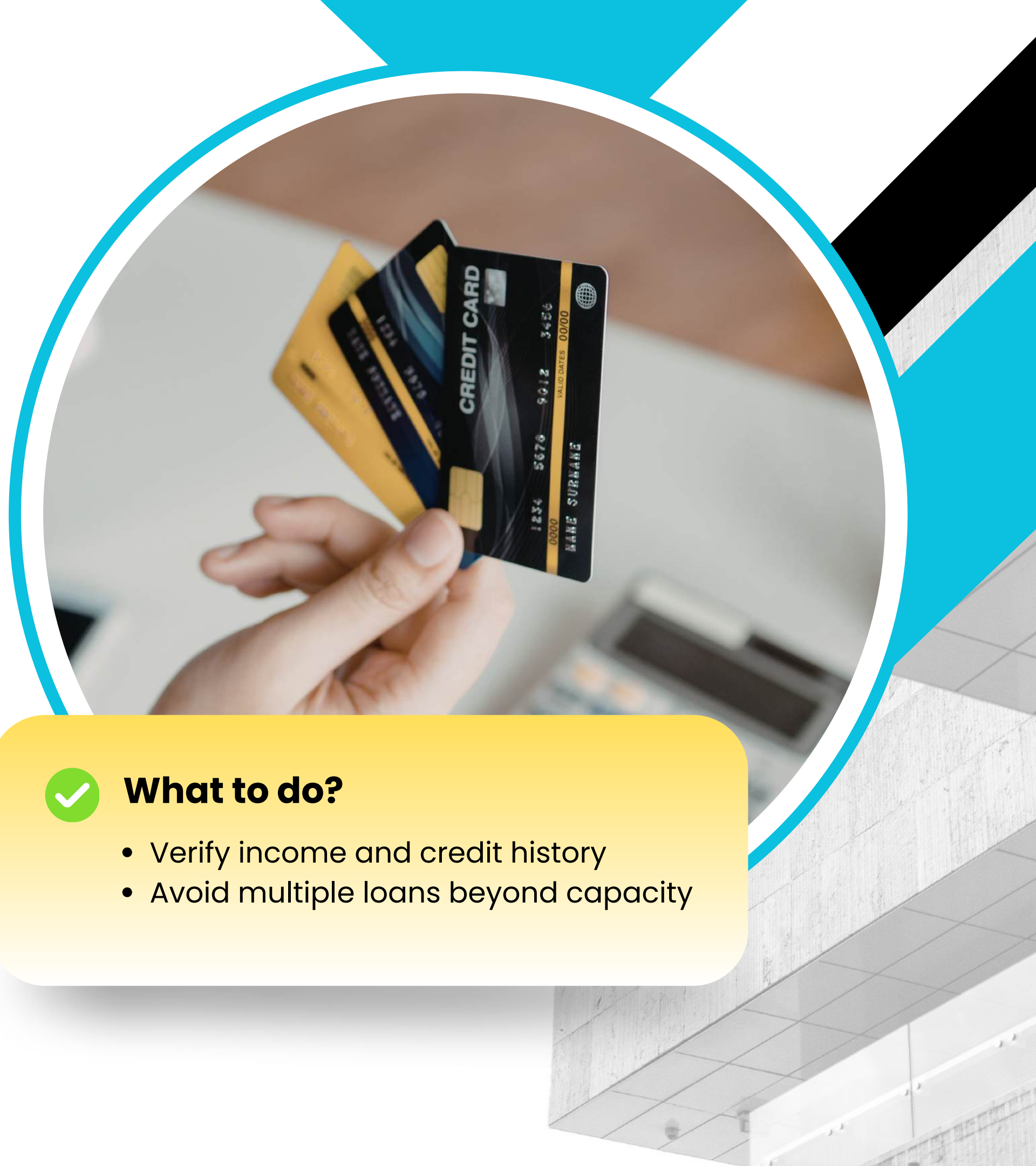
Scenario

A borrower applies for a loan, and the employee carefully reviews the customer's income and existing obligations. The loan is approved only if the customer can reasonably afford the repayments.



What to do?

- Verify income and credit history
- Avoid multiple loans beyond capacity



Complaint Management

Scenario

A customer submits a complaint at the branch, and the employee promptly confirms receipt within five working days. The bank investigates and resolves the concern within 30 calendar days, keeping the customer informed throughout the process.



What to do?

- Acknowledge complaint within 5 working days
- Resolve within 30 calendar days



Data Privacy and Security

Scenario

A customer asks for account details to be sent through a personal email or messaging app. The employee explains that customer information cannot be shared through unsecured channels and instead uses approved bank systems. The employee also reminds the customer to stay alert against phishing attempts.



What to do?

- Do not share data via unsecured channels
- Prevent phishing and cyber threats



Digital Financial Services

Scenario

A client reports receiving a suspicious message asking for online banking details. The employee explains that the bank never asks for passwords or OTPs and helps the client secure their account. Safe digital banking practices are also discussed to prevent fraud.



What to do?

- Secure mobile and online banking platforms
- Strong authentication and controls



Consumer Compliant Process

1

RECEPTION

Customer files complaint via hotline, website, or in-branch

2

CONFIRMATION

Bank sends confirmation within 5 working days

3

INVESTIGATION

Bank reviews and investigates complaint details

4

RESOLUTION

Bank provides a clear response or solution within 30 days

5

ESCALATION

Unsatisfied consumers may escalate to BSP or arbitration bodies

Employee Best Practices



Know Your Customer (KYC)



Be transparent and honest
with all clients



Handle all complaints
professionally and timely

Employee Best Practices



✓
Maintain confidentiality



✓
Promote financial literacy
among customers



✓
Stay updated with latest BSP
circulars and policies

Summary

Consumer Protection equips us with the knowledge and skills to treat customers fairly, transparently, and responsibly in all banking transactions. It emphasizes clear product disclosure, responsible lending, effective complaint handling, data privacy, digital security, and proper KYC practices in line with BSP regulations. By applying these principles consistently, we help protect customer rights, prevent fraud, and strengthen trust and confidence in the banking institution.



Consumer protection is key to trust and a stable financial system



Follow BSP regulations carefully and uphold ethical standards



Keep customers informed, protected, and empowered



Handle complaints seriously and improve services continuously

THANK YOU

